
GRUPO BIMBO
ADVANCING OUR VISION OF LEADERSHIP IN THE BAKING INDUSTRY
Sara Lee
North American Fresh Bakery
Spain & Portugal Fresh Bakery

Strategic growth

- **A key element of Grupo Bimbo's growth strategy is to build a global leadership position in the bakery sector**
- **We seek organic growth supplemented by strategic acquisitions**
- **Executing our strategy: recent transactions**
  - **Sara Lee North American Fresh Bakery:** strengthens national position with attractive and complementary geographic and product portfolio
  - **Sara Lee Iberia:** reunites Bimbo brand globally, provides solid entry to Europe
  - **Fargo:** scales position in Argentina through a leading regional baker
- **Each transaction is driven by strong strategic rationale and business case, resulting in significant value creation**

North American Fresh Bakery



Transaction overview

- **In November 2010, Grupo Bimbo announced the acquisition of Sara Lee's North American Fresh Bakery (NAFB)**
- **NAFB generated US$2bn in revenues and US$78mm in EBITDA in fiscal year 2011**
- **The original enterprise value of US$959mm was revised to US$709mm, which reflects regulatory undertakings**
- **On October 21, 2011, Grupo Bimbo agreed to divestitures resolving the DOJ's clearance of the NAFB acquisition**
- **Acquisition may proceed subject to certain post-closing divestiture obligations**
  - Sara Lee® and EarthGrains® brands for retail sliced bread, buns and rolls in the state of California
  - Smaller divestitures of brands for retail sliced bread, buns and rolls in the Harrisburg/Scranton region in Central Pennsylvania, and in the Kansas City, Oklahoma City and Omaha metropolitan areas

Transaction details

- **North American Fresh Bakery acquisition includes:**
  - Royalty-free perpetual license to the Sara Lee® brand (for fresh bakery products) and an additional portfolio of top regional brands
  - 41 plants, +4,700 routes, 13,200 associates[(a)]
- **Enterprise value of U.S. assets revalued at US$709 mm**
  - Includes US$34 million in assumed liabilities
  - Does not include proceeds from DOJ mandated divestitures
- **Identified annual synergies of US$150 mm to be achieved by 2014**
  - Approximately US$120mm in integration related expenses
- **Implied transaction multiples** [(b)]
  - FV/LTM Revenues: **0.35x**
  - FV/LTM EBITDA: **9.1x**
  - FV/Synergized EBITDA: **3.1x** [(c)]



a) Final figures depend on Consent Decree divestitures

b) Multiples based on US$709mm enterprise value and LTM figures as of June 30, 2011; assumes no tax benefits and proceeds or impact from divestitures associated with the Consent Decree agreed with the DOJ

c) Assuming US$150 million synergies

Brand and product portfolio

Súper Premium

EARTHGRAINS



White Bread

Sara Lee



Regional Brands

Sunbeam · Rainbo · Colonial · Heiner's Bakery



Compelling acquisition

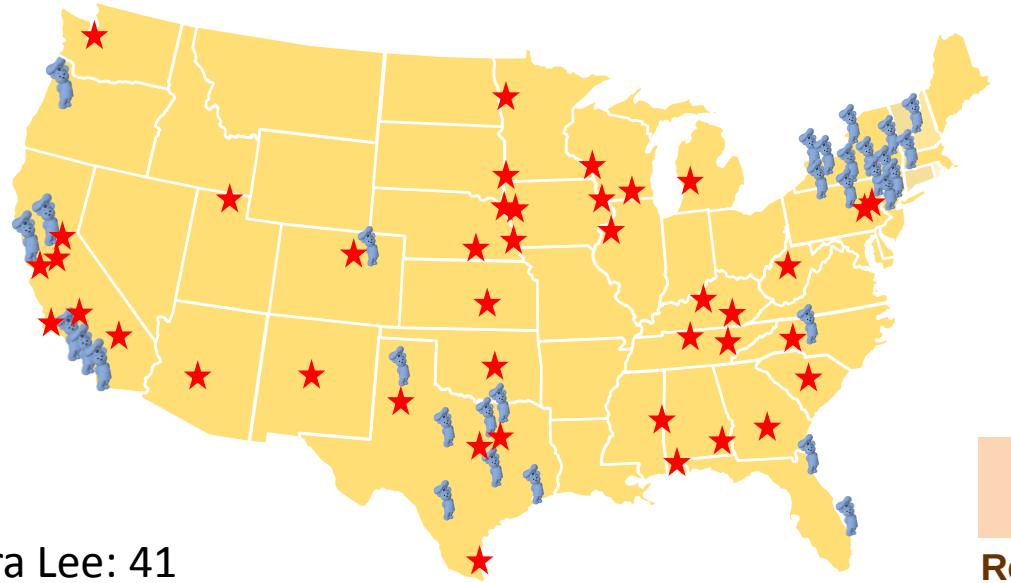
Transaction advances BBU's strategic objectives

- **Scale**
  - A major U.S. bakery player
- **Nationwide manufacturing and distribution**
  - Fills in white space and improves BBU's position in key regions (Midwest, Central and Southeast)
- **Complementary brand portfolio**
  - Full geographic representation in the premium and mainstream categories
- **Significant value creation through synergies and cost reduction, even after divestitures**



The new BBU: scope and scale

National Footprint [a]



★ Sara Lee: 41

BBU: 34

Comprehensive Portfolio

BIMBO · Sara Lee · OROWEAT · Marinela · Tía Rosa · THOMAS' · Sunbeam · MRS BAIRD'S · BOBOLI · Entenmann's

	BIMBO BAKERIES USA	Sara Lee	Pro Forma
Routes	8,480	4,700	13,180
Plants	34	41	75

1. *Final figures depend on Consent Decree divestitures*

A robust and complementary portfolio of brands

	BIMBO BAKERIES USA	Sara Lee
Super Premium/ Variety	Oroweat, Arnold, Brownberry	Earth Grains
Premium Sandwich/ White		Sara Lee
Regional/ Mass	Mrs Baird's, Stroehmann, Freihofer's, Weber's	Sunbeam, Rainbo, Colonial, Heiner's Bakery, IronKids Bread, Grandma Sycamore's, Mother's
Specialty	Thomas', Entenmann's, Boboli, D'Italiano	
Ethnic Hispanic	Bimbo, Marinela, Tia Rosa	



The new BBU: significant value creation potential

Business Combination

	Bimbo Bakeries USA (a)	Sara Lee (a)	Synergies	Pro Forma (b)
Net revenues (US$ mm)	3,701	2,036		5,737
EBITDA (US$ mm)	406	78	150	634
Margin	*11.0%*	*3.8%*		*11.1%*

US$150mm in synergies targeted over the 2014 period

- **Sales & distribution:** depot and distribution utilization
- **Manufacturing:** potential for plant restructuring
- **Purchasing:** savings through scale
- **Overhead rationalization**



a)LTM as of June 30, 2011
b) Figures are pre consent decree divestitures

Brands subject to Consent Decree

California
SARA LEE &
EARTHGRAINS

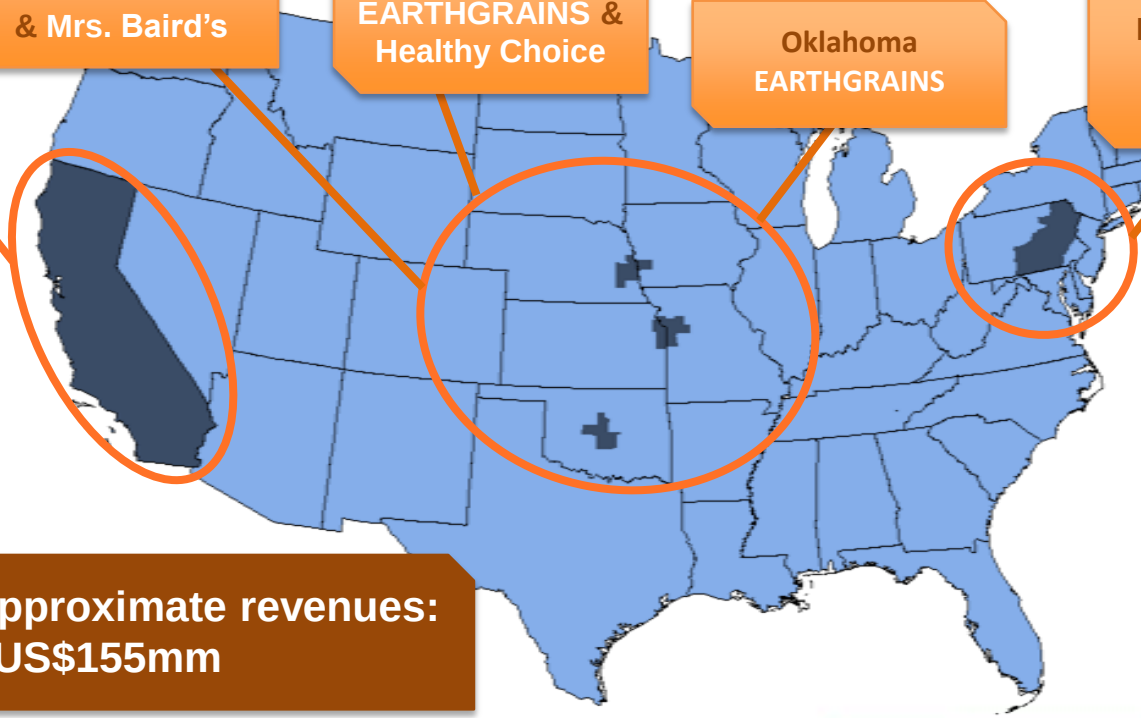
Kansas City
EARTHGRAINS
& Mrs. Baird's

Omaha
EARTHGRAINS &
Healthy Choice

Oklahoma
EARTHGRAINS

HBG/Scranton
HOLSUM
& MILANO





Approximate revenues:
~US$155mm

Integration strategy

- Emphasis on doing it right, rather than doing it fast
- Success will be grounded in winning locally and supplying quality products
- Committing US$1bn over 5 years to make the new BBU the best in the industry: upgrading facilities, building new bakeries, enhancing distribution networks
- Will leverage our size and scale to deliver even greater value to customers and consumers
- Detailed 180-day integration plan establishes specific senior level roles and responsibilities



Focus will remain on execution

- **Orderly integration**
- **Leverage leadership talent in both organizations**
- **Volume growth**
  - Innovation - meet consumer demands
  - Focus on core products
  - Provide freshness, quality and value
- **Customer alignment**
- **Technology systems to support and drive growth and productivity**
- **Move forward on Consent Decree divestitures**



Spain & Portugal
Fresh Bakery



Bimbo Spain



- Bimbo Spain was founded in Barcelona by Mr. Jaime Jorba in 1963
- Subsequently, with an American partner, opened 3 more plants: Madrid, Mallorca and Solares
- Mr. Jorba sold the Company in 1978





Transaction overview

Transaction overview

- **7 plants, +800 routes, +1,900 associates**
- **2011A sales €292mm, pro forma EBITDA €17mm (5.9%)[a] in FY2011**
  - Seller has initiated significant restructuring programs in FY2010 and FY2011 in order to reduce manufacturing, distribution, and G&A costs
- **Enterprise value: €115mm**
- **Implied transaction multiples**
  - FV/LTM Revenues**: 0.4x**
  - FV/pro forma LTM EBITDA[b]**: 6.7x**

Brand portfolio

BIMBO, Silueta, Martínez, EAGLE, Madame Brioche, Semilla de Oro, Ortiz, Pan de Horno Tierno, THE SNACK COMPANY

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a) *Considering full year impact of cost savings initiatives undertaken by Seller*

b) *Pro forma EBITDA of €17mm as of June 30, 2011*

A compelling acquisition

Transaction advances Grupo Bimbo's strategic objectives

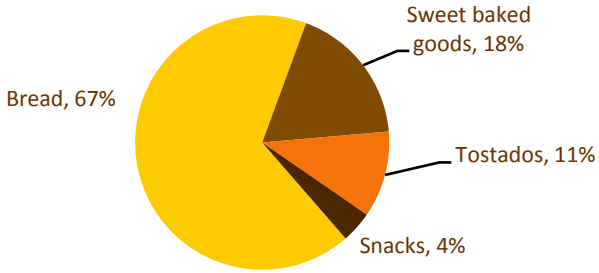
- **Leadership in the baking industry**
- **Entry to sizeable market through established brand leader[(a)]**
  - €4.7bn bread market: packaged bread ~ 19% in 2010 (up from 13% in 2006)
  - Potential for brand growth; Grupo Bimbo brings know-how
  - Opportunity to integrate Bimbo brand globally
- **Market leading brands in the bread, sweet baked goods and snack categories**
- **Approximately €12mm in integration related expenses**



a) *Source; MARM, TNS*

Business overview

Sales breakdown by segment €292mm



Production Network



Production facilities

Market Position

Bread

- #1 in branded bread, significant opportunity for product innovation

Sweet baked goods

- #2 in branded, significant opportunity to grow share
- Well positioned among youth

Tostados

- #1 in branded

Snacks

- Assortment of nuts, popcorn, etc.



Brand and product portfolio

GRUPO BIMBO

Packaged Bread

BIMBO

Silueta

Semilla de Oro

Pan de Horno Tierno

Sweet Baked Goods

BIMBO

Madame Brioche

Martínez

Toasted Bread

BIMBO

Ortiz

Silueta

Pastries

Martínez

Pantera Rosa / Tigreton / Bony

Snacks

EAGLE



Grupo Bimbo Today



Grupo Bimbo Today

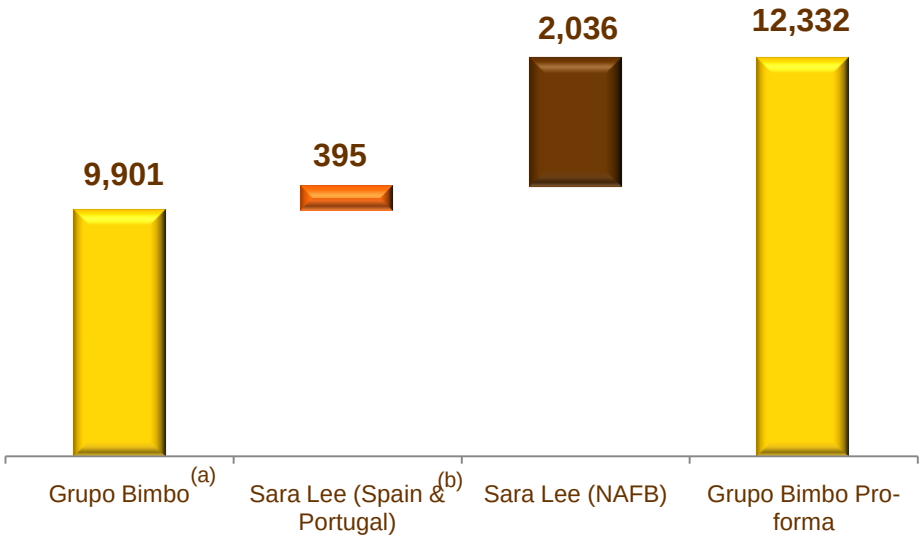
US$	GRUPO BIMBO (a)	Sara Lee (b)	BIMBO (c)	Pro Forma	Pro Forma (d) including synergies
Net revenues (US$ mm)	9,901	2,036	395	12,332	
EBITDA (US$ mm)	1,206	78	24	1,308	1,458
Margin	*12.2%*	*3.8%*	*5.9%*	*10.6%*	*11.8%*
Routes	+44,800	+4,700	+800	+50,300	
Plants	107	41	7	155	
Associates	111,300	+13,000	+1,900	126,200	



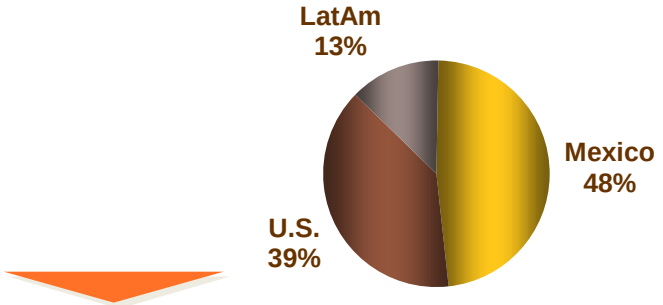
a) *Figures as of June 30, 2011 converted to US$ using an exchange rate of $12.2550; Includes LTM figures for Fargo as of July, 2011*
b) *Figures as of June 30, 2011, exclude synergies and consent decree dispositions*
c) *Pro forma figures as of June 30, 2011, converted to US$ using an exchange rate of €1.4002*
d) *Expected synergies of US$150mm by 2014*

Evolution of Sales: Pro forma mix

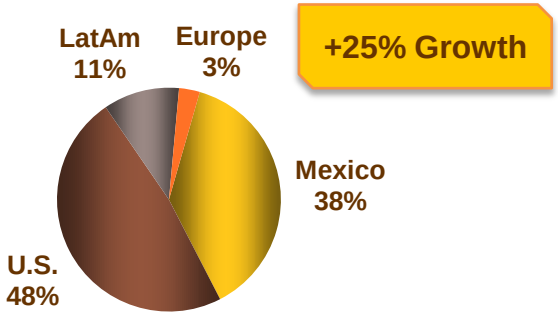
Pro Forma Sales Contribution



Current Sales Mix(b)



Pro Forma Sales Mix(b)

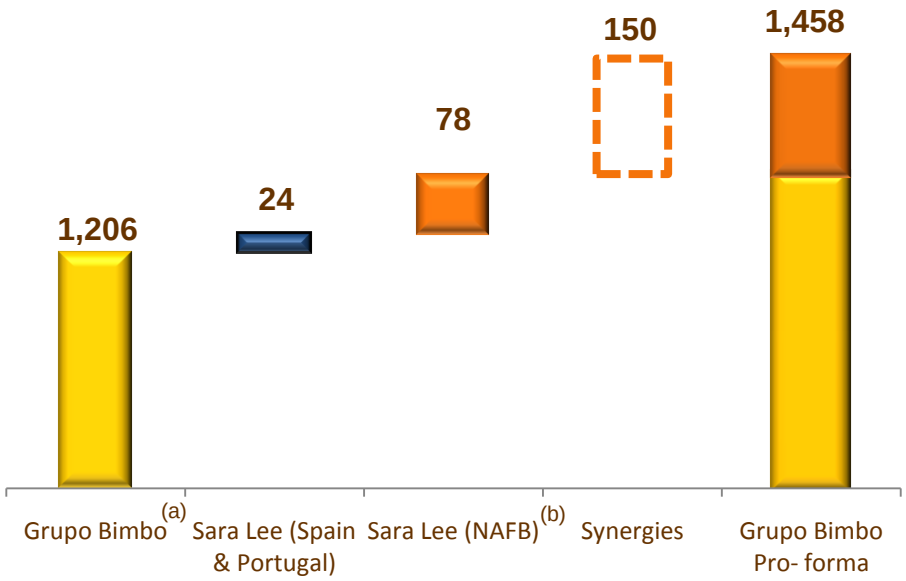


a) *Figures as of June 30, 2011 converted to US$ using an exchange rate of $12.2550 for MXN; $1.4002 for EUR; Includes LTM figures for Fargo as of July, 2011*

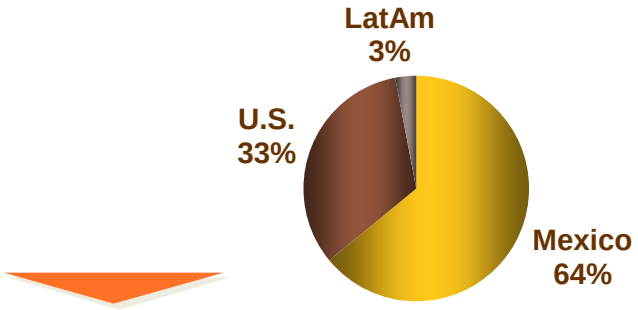
b) *Figures as of June 30, 2011, exclude synergies and Consent Decree disposals*

Evolution of EBITDA: Pro forma mix

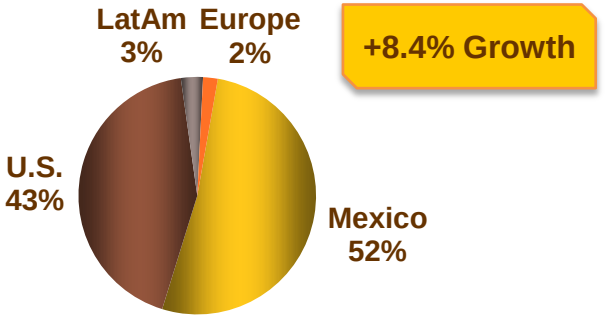
Pro Forma EBITDA Contribution



Current EBITDA Mix(b)



Pro Forma EBITDA Mix(b)



a) *Figures as of June 30, 2011 converted to US$ using an exchange rate of $12.2550 for MXN; $1.4002 for EUR; Includes LTM figures for Fargo as of July, 2011*

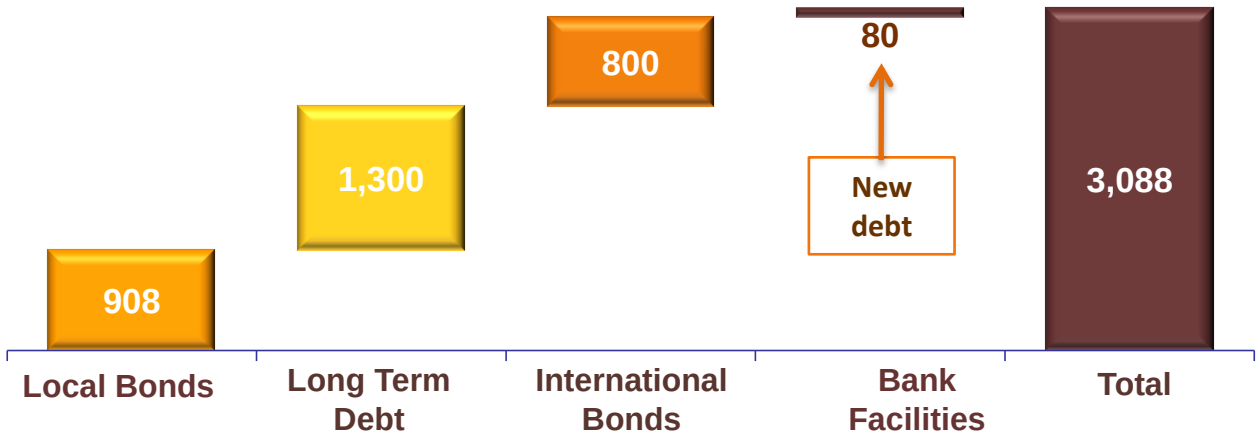
b) *Figures as of June 30, 2011, exclude synergies and Consent Decree disposals*

Financing Structure

Sources of Funding

- Cash on balance sheet
- Up to US$80mm from available bank facilities

Pro forma structure of debt[1]





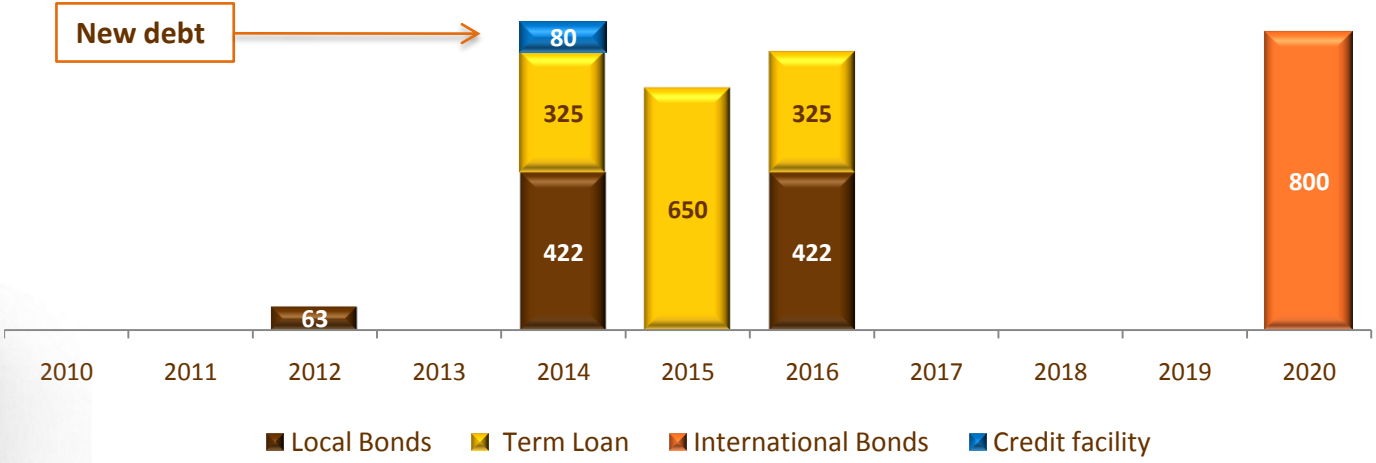
1) *Excluding debt at subsidiary level . FX as of June, 2011 11.8389*

Transaction financing



Pro Forma Amortization Schedule

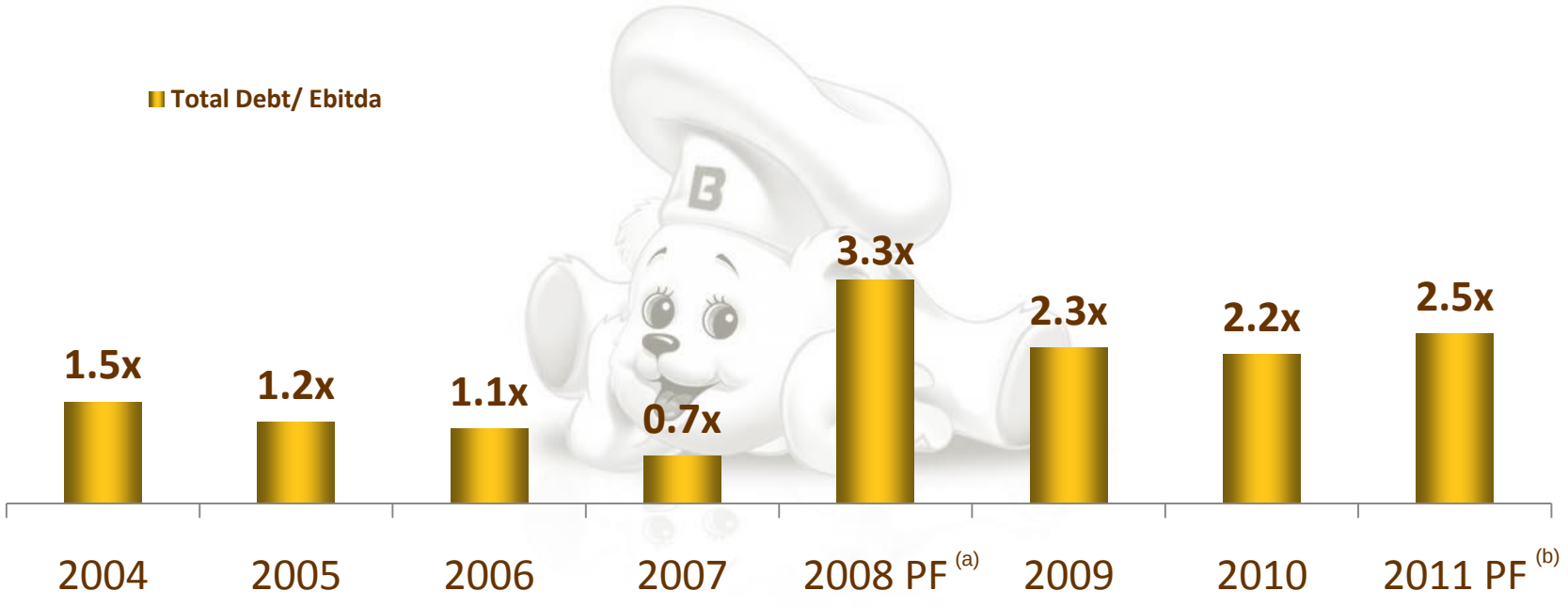
As of June, 2011
(USD mm)



Excluding debt at subsidiary level
FX as of June, 2011 11.8389

Generating long term value to shareholders, while carefully maintaining strength and flexibility

Grupo Bimbo Leverage Ratio



a) *Pro-forma for Weston Foods, Inc. acquisition*

b) *Pro- forma as of June, 2011. Assuming the acquisition is funded with a combination of cash on hand and extra debt for US$80 million*

Strengthening our global profile



- **Transformational transaction**
  - Strengthening our business in the US
  - Entering Spain/Portugal – largest European bakery market
- **Compelling acquisition drivers**
  - U.S.: more robust portfolio, true national footprint, significant value-creation opportunities
  - Spain/Portugal: established business with brand leadership and significant potential for growth while reuniting the Bimbo brand
- **Diversifying revenue and cash flow, significant value creation potential**
  - Balance sheet remains strong and flexible

→ ***Advancing Grupo Bimbo's vision of global growth***

Grupo Bimbo Today



During this presentation, we have made statements about the Company's future plans and prospects that constitute forward-looking statements.

Actual results may differ materially from those indicated by these forward-looking statements as a result of various factors and undue reliance should not be placed on these forward-looking statements. We cannot ensure that actual results will not be materially different from those expressed or implied by these forward-looking statements.

In addition, any forward-looking statements represent our estimates only as of today and should not be relied upon as representing our estimates as of any subsequent date. While we may elect to update forward-looking statements at some point in the future, we specifically disclaim any obligation to do so, even if our estimates change.